GradientCIO

EQUITY RESEARCH NOTE

Example Industrial Corp. (TEST)

EXIC · Example Exchange · Industrial machinery · FY ends 12-31 · RENDER TEST

TICKER EXIC	CIK 0000000000	LATEST FILING 10-Q, 2026-08-05
FISCAL YEAR END 12-31	PREPARED FOR Example Allocator (TEST)	REPORT DATE 2026-10-04

REVIEW FLAGS (NOT A RATING)

2 items to review

EVIDENCE COMPLETENESS

8 of 10 · Degraded

01 Executive summary

Render test with fictional data — not a real issuer

REVIEW FLAGS (NOT A RATING)

2 items to review

EVIDENCE COMPLETENESS · 8/10

BOTTOM LINE

Example Industrial reported FY2025 revenue of $12.40B, up 6.2% year over year, with operating margin of 14.8% versus 16.1% a year earlier S1. Capital expenditures rose 58.0% to $1.32B while free cash flow margin fell to 5.1% S1 S2, and the latest 10-Q added 3 risk-factor passages S3. 18 of 29 cohort hedge funds held the stock at 2026-06-30 S9. Sector signal context was unavailable, so completeness is degraded.

REVENUE GROWTH	OPERATING MARGIN	NET DEBT / EBITDA	LATEST FILING
+6.2%	14.8%	1.9x	10-Q
FY2025 vs FY2024, 10-K S1	16.1% prior year S1	FY2025 S1	Filed 2026-08-05 S5

- Revenue $12.40B in FY2025, up 6.2% S1
- Operating margin down 1.3 pts to 14.8% S1
- 3 risk passages added in the 2026-08-05 10-Q S3
- Capex up 58.0% with FCF margin down — check funding S2
- Held by 62.1% of the hedge-fund cohort (13F, delayed) S9
- Sector signal context unavailable (validation 422)

EVIDENCE COVERAGE

Fundamentals	Available	FY2025 10-K facts S1
Change report	Available	8 ranked changes S2
Filing changes (10-Q vs 10-Q)	Partial	1 input missing S3
Peer comparison	Partial	2 peers, some metrics incomparable S4
Risk findings	Available	12 findings S6
Industry structure	Partial	2 of 5 forces evidenced S7
Earnings release	Available	8-K 2026-07-30 S8
Hedge-fund crowding	Available	2026-06-30 panel S9
Sector equity signal	Unavailable	equity_signal_stale_contributors
Roster holdings	Unavailable	CUSIP not available

Key judgment — headline signal

Observation: The fictional TEST report carries a 2 items to review signal S1. Why it matters: The signal frames the review. Uncertainty: Evidence coverage is bounded. What would change the view: New governed evidence that changes the signal.

Key judgment — primary measure

Observation: Revenue growth is +6.2% in the TEST evidence S2. Why it matters: This measure anchors the executive view. Uncertainty: The fixture is deliberately compact. What would change the view: A refreshed source with a materially different value.

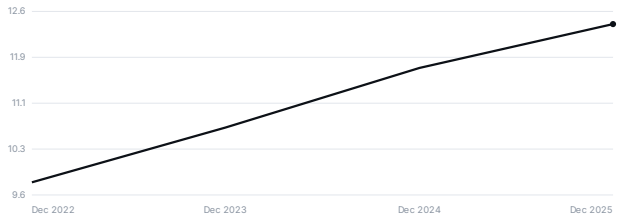
Key judgment — monitoring priority

Observation: Latest filing is 10-Q in the TEST evidence S3. Why it matters: It identifies a monitoring priority. Uncertainty: Supporting detail is limited. What would change the view: Corroborated evidence that resolves or reverses the item.

02 Fundamentals, filing changes and risk factors

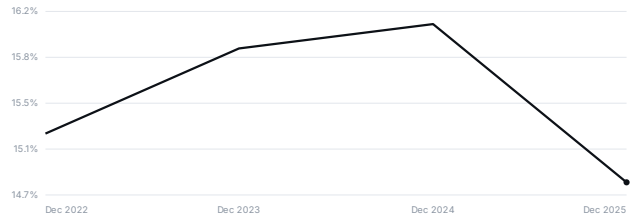
SEC XBRL facts, FY2025 10-K and 2026 10-Qs

REVENUE (USD BILLIONS)



First-filed annual facts S1.

OPERATING MARGIN



Calculated by the governed fundamentals result S1.

FILING-CHANGE INTENSITY

ADDED	REMOVED	
10-Q 2026-08-05	3	0
RISK FACTORS	1	0

Returned disclosure and risk-factor change counts S3 S6.

ANNUAL CHANGES (FY2025 VS FY2024, 10-K)

METRIC	FY2025	FY2024	CHANGE	SOURCE
Revenue	$12.40B	$11.68B	+6.2%	S1
Operating income	$1.84B	$1.88B	-2.1%	S1
Operating cash flow	$1.95B	$1.90B	+2.6%	S1
Capital expenditures	$1.32B	$0.84B	+58.0%	S2
Diluted EPS	$4.12	$4.20	-1.9%	S1

All values as first filed; no revisions or amendments flagged S1.

OPERATING MARGIN BY FISCAL YEAR



CASH AND CAPITAL ALLOCATION (FY2025)

Free cash flow margin	**5.1%** S1
Earnings cash conversion	**1.24x** S1
Dividends	**$0.31B** S1
Repurchases	**$0.22B** S2
Liabilities / equity	**1.42x** S2

LATEST 10-Q VS PRIOR 10-Q

FORM	CURRENT FILED	PRIOR FILED	PASSAGES ADDED	PASSAGES REMOVED
10-Q	2026-08-05	2026-05-06	3	0

Counts of disclosure passages from the filing diff S3.

RISK-FACTOR FINDINGS

CATEGORY	FILING LANGUAGE (EXCERPT)	FILING	FRESHNESS
Supply chain	"Disruptions at single-source suppliers could delay shipments."	10-Q 2026-08-05	New
Competitive	"We face competition from larger, diversified manufacturers."	10-K 2026-02-20	Available

Fictional sample sentences S6.

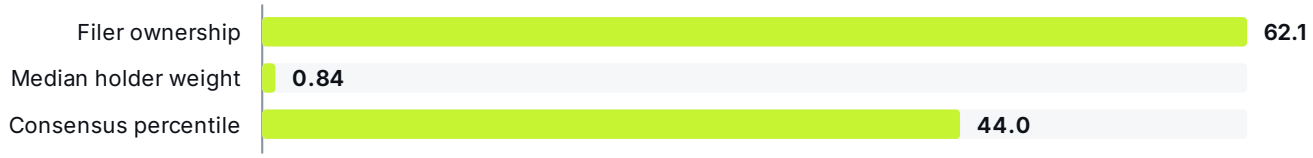
Analysis — Filing changes sharpen review

Observation: Revenue rose while margin fell and a new supply-chain passage appeared S1 S3 S6. Why it matters: Holders should distinguish growth from operating and disclosure changes. Uncertainty: Filing language does not quantify impact. What would change the view: Later filings showing margin recovery or removal of the cited risk.

03 Peers

User-selected peers; period-aligned metrics only

CROWDING MEASURES



Percentages use distinct governed denominators; compare direction, not magnitude S9.

METRIC	EXIC	PEER1	PEER2	PEER MEDIAN	EXIC RANK
Gross margin	31.4%	28.9%	34.0%	31.5%	2 of 3
FCF margin	5.1%	9.8%	7.2%	8.5%	3 of 3
Net debt / EBITDA	1.9x	2.6x	1.1x	1.9x	2 of 3

Annual periods ending 2025-12-31 S4. Rank 1 = most favourable per rank_direction.

04 Industry structure

Supplier concentration is the clearest disclosed structural pressure

FORCES EVIDENCED	SINGLE-SOURCE RISK	BUYER POWER	EVIDENCE BASIS
2 of 3	Disclosed	Not found	SEC text

INDUSTRY STRUCTURE (DISCLOSURE EVIDENCE)

FORCE	EVIDENCE	BASIS
Rivalry	Competition disclosure in Item 1A S7	Available
Supplier power	Single-source supplier disclosure S7	Available
Buyer power	No matching sentence retrieved	Missing

How to read this

Filing sentences are issuer disclosures, not measurements of industry force strength or moat durability S7.

Analysis — Supplier dependence is the clearest disclosed pressure

Observation: Supplier concentration is evidenced while buyer power is not retrieved S7. Why it matters: Disclosed dependency can constrain operating resilience. Uncertainty: Filing text does not measure probability or loss. What would change the view: Diversification evidence or quantified supplier exposure in a later filing.

05 Latest earnings release

Form 8-K Item 2.02, EX-99.1

Filed	**2026-07-30** S8
Items	**2.02, 9.01** S8
Guidance changes	**None extracted** S8

- Quarterly revenue $3.21B, up 4.0% (GAAP) S8
- One-time item: none returned S8

06 Positioning and crowding

Hedge-fund 13F cohort, period 2026-06-30

Visual evidence

Not available — No governed visual was returned for this fictional TEST fixture.

EXIC IN THE CROWDING PANELS

Consensus rank	**14 of 25 shown** S9
Holders	**18 of 29 filers (62.1%)** S9
Median weight (holders)	**0.84%** S9
Building / unwinding	**Not in either top-25 panel** S9

How to read 13F crowding

13F filings are delayed (49 days at the report date), cover long U.S.-listed positions only, omit shorts and most non-U.S. exposure, and do not show intent S9.

Analysis — Ownership is broad but not a directional signal

Observation: 18 of 29 filers report the issuer, but it is absent from building and unwinding panels S9. Why it matters: Breadth alone does not establish momentum. Uncertainty: 13F data are delayed and omit shorts. What would change the view: A governed panel showing a sustained build or unwind.

07 Who holds it on the roster

Firm-level Form 13F

Not run

No CUSIP was available for the issuer, so roster holdings were not checked. This is not evidence that no rostered manager holds it.

08 Appendix — sources and method

SOURCES

TAG	EVIDENCE	TOOL / VIEW	AS OF	VALIDATION	DIGEST
S1	Fundamentals	fundamentals / fundamentals	2026-10-04	Not_run	aa11bb22
S2	Change report	fundamentals / change_report	2026-10-04	Passed	cc33dd44
S3	Filing changes	fundamentals / changes	2026-10-04	Passed	ee55ff66

TAG	EVIDENCE	TOOL / VIEW	AS OF	VALIDATION	DIGEST
S4	Peer comparison	fundamentals / peer_comparison	2026-08-05	Advisory	11223344
S5	Filing inventory	filing_evidence / filings	2026-10-04	Passed	55667788
S6	Risk findings	filing_evidence / risk_findings	2026-10-04	Passed	99aabbcc
S7	Industry structure	filing_evidence / industry_structure	2026-10-04	Passed	ddeeff00
S8	Earnings release	filing_evidence / earnings_release	2026-07-30	Passed	0a1b2c3d
S9	Hedge-fund crowding	market_positioning / hedge_fund_crowding	2026-10-02	Passed	4e5f6a7b

SERVER METRIC METHODS

SOURCE	METRIC	SERVER METHOD / BASIS
S1	Net debt / EBITDA	get_public_equity_fundamentals.leverage_metric; preserve returned formula_id, formula_version, period_basis, units and source facts
S2	Liabilities / equity	get_public_equity_change_report.leverage_metric; preserve returned formula_id, formula_version, period_basis, units and source facts

- Review flags: elevated = negative annual operating income or OCF, revised or amended facts, net debt / EBITDA ≥ 3.0x, or filed impairment / restatement / going-concern items; watch = revenue down, operating margin down ≥ 2.0 pts, capex up ≥ 50% with FCF margin down, risk passages added or removed, or ≥ 50% cohort holder share; clear = none; insufficient = fundamentals unavailable.
- Sector mapping is SEC SIC to a Gradient sector, not GICS.

> **Disclaimer**
> This note summarizes public SEC filings and Gradient-normalized data as of the dates shown. It is not investment, legal, tax or accounting advice, not a recommendation to buy, sell or hold any security, and contains no price target or rating. Filed figures are issuer-reported; Form 13F data is delayed and incomplete. Verify against the source filings before relying on any figure.